Practice workbook · Markup: percentage, selling price or cost

Calculating markup as profit per unit over cost times 100, or using a markup to find selling price from cost or cost from selling price.

15 question parts: 1 worked-example retry and 14 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-CALC-13

1. Question 1 · part e · 2 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part e only.

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1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

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1. Question 1 · part e · 2 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part e only.

(iii) Which **one** of the following is a method of primary market research?

(1)

Select **one** answer.

- ☒ **A** Newspaper articles
- ☒ **B** Government statistics
- ☒ **C** Focus groups
- ☒ **D** Internet research

(iv) Which **one** of the following is used to calculate net cash flow?

(1)

Select **one** answer.

- ☒ **A** Total cash inflow – total cash outflow
- ☒ **B** Total cash inflow + total cash outflow
- ☒ **C** Opening balance – closing balance
- ☒ **D** Opening balance + closing balance

TADS has developed contracts with drumming schools in other countries to teach online music lessons.

An Italian drumming school has agreed that *TADS* can teach five lessons per week. Each lesson costs £15 for half an hour. The exchange rate in January 2019 was £1 = €1.15.

(v) What will the Italian drumming school pay in euros (€) for these five lessons?

(1)

Select **one** answer.

- ☒ **A** €5.75
- ☒ **B** €15.00
- ☒ **C** €75.00
- ☒ **D** €86.25

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1. Question 1 · part e · 2 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part e only.

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In May 2019 the exchange rate was £1 = €1.05. *TADS* continued to provide the Italian drumming school with five lessons a week.

(vi) What effect would this change in the exchange rate have on the Italian drumming school?

(1)

Select **one** answer.

- ☒ **A** A decrease in cash outflows
- ☒ **B** An increase in import costs
- ☒ **C** A decrease in revenue
- ☒ **D** An increase in the internet costs

(b) Define the term **fixed costs**.

(1)

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(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *TADS* of investing in computer technology.

(1)

1. Question 1 · part e · 2 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part e only.

TADS buys a drum kit for £190 and sells it for £350.

(e) Calculate, to two decimal places, the mark up on this drum kit.

(2)

..... %

(f) Explain **one** disadvantage of being in a partnership.

(3)

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1. Question 1 · part e · 2 marks · Working and answer

Working and answer

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2. Question 4 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

4 *Backyard Shoez* buys children's shoes for 2 400 Ks and sells them for 3 200 Ks.

(a) Calculate the markup on these shoes. You are advised to show your working.

(2)

.....%

(b) Analyse the usefulness of profitability ratios to *Backyard Shoez*.

(6)

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2. Question 4 · part a · 2 marks · Working and answer

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

Figure 1 shows financial information in Rupees for 2015 to 2016.

Year ending	2016	2015
Revenue	13 399 000	12 880 000

Figure 1

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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3. Question 1 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(c) Define the term **branding.**

(1)

(d) State **one** diseconomy of scale that could affect *Yellow*.

(1)

Yellow could use the cost plus method of pricing for the clothes it sells.

(e) Calculate the selling price of a T-shirt that costs *Yellow* 252 (AED) if the mark-up was 17%. You are advised to show your working.

(2)

AED

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(f) Explain **one** advantage for a business of having loyal customers.

(3)

3. Question 1 · part e · 2 marks · Working and answer

Working and answer

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4. Question 1 · part a.v · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.v only.

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1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

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4. Question 1 · part a.v · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.v only.

Figure 1 shows the product life cycle diagram.

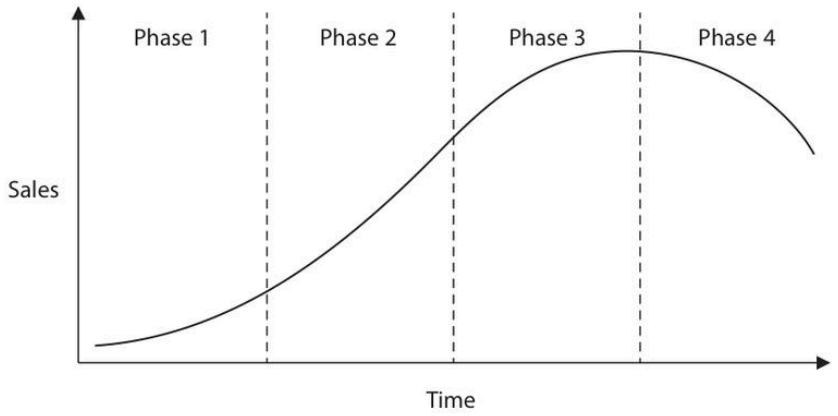


Figure 1

(iv) Which **one** is the correct label for Phase 2? (1)

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

Loaf charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? (1)

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

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4. Question 1 · part a.v · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a.v only.

Loaf is offering some Japanese students the opportunity to take part in a two-hour 'Bao and Dumplings' course. The course will cost £65.

The exchange rate is £1 (Pound) = 148.86 JPY (Japanese Yen).

(vi) Which **one** of the following amounts would a student pay for this course in Yen?

(1)

Select **one** answer.

- ☒ **A** 65.00 JPY
- ☒ **B** 148.86 JPY
- ☒ **C** 9620.00 JPY
- ☒ **D** 9675.90 JPY

(b) Define the term **capital intensive production**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** reason why Tom Baker set up his business as a social enterprise.

(1)

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Turn over ▶

4. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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5. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

☒ **A** Provision of services

☒ **B** Exchange of goods

☒ **C** Extraction of raw materials

☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

☒ **A** The person can buy supplies from any supplier

☒ **B** The person is given support from an established business

☒ **C** The person is guaranteed a set wage

☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

☒ **A** 6.63%

☒ **B** 15.09%

☒ **C** 33.75%

☒ **D** 50.94%

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5. Question 1 · part a.iii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.iii only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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5. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a.vi · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a.vi only.

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1 *Nantgwynfaen Organic Farm (NOF)* is a farm growing a range of fruit and vegetables. It has a farm shop and offers accommodation with breakfast. It was set up by Amanda and Ken Edwards in West Wales, UK.

NOF supports farmers by selling local organic produce in its farm shop. The produce from the farm shop is served to the visitors staying overnight at the farm.

NOF is committed to being environmentally friendly by recycling, avoiding the use of packaging and reducing the use of electricity.

(a) (i) Which **one** of the following is an external source of finance?

(1)

Select **one** answer.

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Bank loan
- ☒ **D** Selling assets

(ii) Which **one** of the following is the name of a pricing strategy where a business sets a high price for a new product in the market?

(1)

Select **one** answer.

- ☒ **A** Penetration
- ☒ **B** Skimming
- ☒ **C** Competition
- ☒ **D** Promotional

(iii) Which **one** of the following types of discrimination is protected by legislation?

(1)

Select **one** answer.

- ☒ **A** Age
- ☒ **B** Ability
- ☒ **C** Social
- ☒ **D** Ethical

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6. Question 1 · part a.vi · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a.vi only.

(iv) Which **one** of the following is a document employers would send to potential employees?

(1)

Select **one** answer.

- ☒ **A** Curriculum vitae
- ☒ **B** Letter of application
- ☒ **C** Newspaper advertisement
- ☒ **D** Person specification

NOF imports dried fruit from France. A kilogram (kg) costs €12.84.

The exchange rate is £1 (Pound sterling) = €1.16 (Euro).

(v) Which **one** of the following would *NOF* pay for 1kg of dried fruit in pounds sterling?

(1)

Select **one** answer.

- ☒ **A** £1.16
- ☒ **B** £11.07
- ☒ **C** £12.84
- ☒ **D** £14.00

NOF buys honey from a local farm for £1.60 a jar and sells it to customers for £3.60.

(vi) What is the markup on a jar of honey?

(1)

Select **one** answer

- ☒ **A** 1.6%
- ☒ **B** 2%
- ☒ **C** 125%
- ☒ **D** 250%

(b) Define the term **profit**.

(1)

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6. Question 1 · part a.vi · 1 mark · Working and answer

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7. Question 1 · part a.v · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.v only.

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1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

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7. Question 1 · part a.v · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.v only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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7. Question 1 · part a.v · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.v only.

Artify Studio imports sets of acrylic paint from Malaysia at a cost of 8.50 Malaysian Ringgit (MYR) per set.

The exchange rate is 1 MYR = 0.33 S$ (SGD).

(vi) Which **one** of the following would *Artify Studio* pay in SGD if they imported 15 sets of paints?

(1)

Select **one** answer

- ☒ **A** 2.81
- ☒ **B** 4.95
- ☒ **C** 15.00
- ☒ **D** 42.08

(b) Define the term **diseconomies of scale**.

(1)

(c) Define the term **job production**.

(1)

(d) State **one** financial method of motivation *Artify Studio* could use to motivate its employees.

(1)

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7. Question 1 · part a.v · 1 mark · Working and answer

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8. Question 1 · part a.vi · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

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1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

(a) (i) Which **one** of the following could immediately improve cash flow?

Select **one** answer.

(1)

- ☒ **A** Allow customers to pay later
- ☒ **B** Launch an advertising campaign
- ☒ **C** Increase inventory of raw materials
- ☒ **D** Pay suppliers later

(ii) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Internet
- ☒ **B** Postal survey
- ☒ **C** Newspaper
- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

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8. Question 1 · part a.vi · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

(iv) Which **one** of the following is used to calculate the break-even point?

Select **one** answer.

(1)

- ☒ **A** Fixed costs × (selling price + variable costs)
- ☒ **B** Fixed costs × (selling price – variable costs)
- ☒ **C** Fixed costs ÷ (selling price + variable costs)
- ☒ **D** Fixed costs ÷ (selling price – variable costs)

For its Winter menu *Can Culleretes* buys 10 kilograms (kg) of salmon from Scotland every week at a cost of £19.17 per kilogram.

In November 2021 the exchange rate was £1 = €1.17

(v) Which **one** of the following is the total cost in euros of buying a two week supply of salmon?

Select **one** answer.

(1)

- ☒ **A** €191.70
- ☒ **B** €224.29
- ☒ **C** €383.40
- ☒ **D** €448.58

Can Culleretes buys its prawns from a local fishmonger at a cost of €11.50 a kilogram. It is then sold to customers for €13.70 a kilogram.

(vi) What is the markup on a kilogram of prawns?

Select **one** answer.

(1)

- ☒ **A** 11.5%
- ☒ **B** 13.7%
- ☒ **C** 19.1%
- ☒ **D** 23.0%

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8. Question 1 · part a.vi · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

(b) Define the term **job production**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

(d) State **one** method *Can Culleretes* could use to collect quantitative market research.

(1)

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Figure 1 is an extract from *Can Culleretes'* cash-flow forecast.

	June
Opening balance	€4 400
Cash inflow	€4 600
Cash outflow	€3 000
Net cash flow	

Figure 1

(e) Calculate the net cash flow for *Can Culleretes* in June. You are advised to show your working.

(2)

€.....

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8. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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9. Question 1 · part a.v · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a.v only.

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1 *The Better Toy Store (TBTS)* is a children's toy shop. *TBTS* has three shops in Singapore. Two of the shops are located in busy shopping malls and the third is located at the Jewel Changi Airport. *TBTS* has a website for customers looking to buy toys online.

TBTS selects toys to sell that are excellent for play, value, design and quality. All *TBTS* toys are environmentally friendly.

(a) (i) Which **one** of the following is a form of promotion that targets a specialised segment of the market?

Select **one** answer.

(1)

- ☒ **A** Mass marketing
- ☒ **B** Niche marketing
- ☒ **C** Market share
- ☒ **D** Market analysis

(ii) Which **one** of the following is a financial aim for a business?

Select **one** answer.

(1)

- ☒ **A** Survival
- ☒ **B** Challenge
- ☒ **C** Social objectives
- ☒ **D** Personal satisfaction

(iii) Which **one** of the following is a variable cost?

Select **one** answer.

(1)

- ☒ **A** Rent paid
- ☒ **B** Management salaries
- ☒ **C** Insurance agreed
- ☒ **D** Raw materials

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9. Question 1 · part a.v · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a.v only.

(iv) Which **one** of the following is a role of the production function?

Select **one** answer.

(1)

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Customer service
- ☒ **D** Staff welfare

TBTS buys its balloon packs from a local supplier for 7.20 Singapore Dollars (SGD) a pack. It sells them to customers for 16.90 SGD.

(v) Which **one** of the following is the markup on a pack of balloons?

Select **one** answer.

(1)

- ☒ **A** 7.20 %
- ☒ **B** 9.70 %
- ☒ **C** 69.84 %
- ☒ **D** 134.72 %

TBTS sells balloons in packs of four at a price of 67.60 SGD.
The exchange rate is 1 SGD = 3.05 Malaysian Ringgit (MYR).

(vi) Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs?

Select **one** answer.

(1)

- ☒ **A** 16.90 MYR
- ☒ **B** 22.16 MYR
- ☒ **C** 67.60 MYR
- ☒ **D** 206.18 MYR

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P 7 0 7 3 5 A 0 4 2 0

9. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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10. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

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1 The *LEGO* Group is a privately-owned business in Denmark. The business was founded in 1932 by the Kristiansen family. The family still owns it. The name *LEGO* is an abbreviation of two Danish words, 'leg godt' which means 'play well'. It is now one of the world's largest manufacturers of toys with 15 factories and over 18,000 employees around the world.

LEGO manufactures toys, games and art materials for boys and girls of all ages, and products from films such as Star Wars and Harry Potter. It believes that children are the role models of the future and playing with *LEGO* can support children in a developing and complex world.

(a) (i) Which **one** of the following shows money coming in and money going out of a business?

Select **one** answer.

(1)

- ☒ **A** A mortgage
- ☒ **B** Break-even
- ☒ **C** Cash flow
- ☒ **D** Profit and loss

(ii) Which **one** of the following could a person complete when applying for a job?

Select **one** answer.

(1)

- ☒ **A** Application form
- ☒ **B** Shortlisting
- ☒ **C** Job description
- ☒ **D** Person specification

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10. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

Figure 1 shows financial information for one of *LEGO*'s suppliers in Danish Krone (DKK).

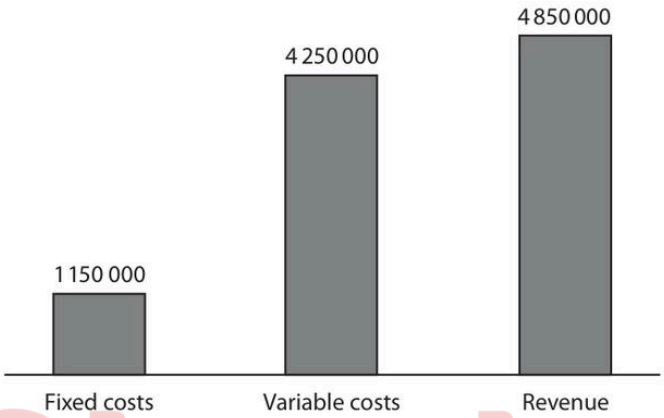


Figure 1

(iii) Which **one** of the following is the correct statement?

Select **one** answer.

(1)

- ☒ **A** Total costs of 10 250 000
- ☒ **B** Cash inflow of 3 100 000
- ☒ **C** Loss of 550 000
- ☒ **D** Profit of 600 000

(iv) Which **one** of the following is a benefit of being a franchisee?

Select **one** answer.

(1)

- ☒ **A** Being able to choose your own suppliers
- ☒ **B** Selling an established brand
- ☒ **C** Not having to pay interest on a bank loan
- ☒ **D** Having complete control of the business

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P 6 9 5 5 1 A 0 4 2 0

10. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

LEGO's revenue in 2019 was 38.5 billion DKK. In 2020 it was 40.81 billion DKK.

(v) Which **one** of the following is the percentage increase from 2019 to 2020?

Select **one** answer.

(1)

- ☒ **A** 0.06%
- ☒ **B** 1.06%
- ☒ **C** 2.31%
- ☒ **D** 6%

(vi) Which **one** of the following functional areas could help employees who had a problem with their wage?

Select **one** answer.

(1)

- ☒ **A** Production
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Sales

(b) Define the term **break-even**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** benefit for *LEGO* of having a short span of control.

(1)

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10. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

LEGO sells pineapple pencil holders for 148.00 DKK. The markup is 15%.

(e) Calculate, to two decimal places, the cost of making the pineapple pencil holders.
You are advised to show your working.

(2)

..... DKK

(f) Explain **one** disadvantage of using questionnaires as a method of market research.

(3)

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10. Question 1 · part e · 2 marks · Working and answer

Working and answer

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11. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

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1 *Aude Rose* is a flower shop in Paris, France. It was set up by Aude Anglaret after she graduated with a qualification in floristry. It opened a shop in 2009 in the outskirts of Paris. Since then it has gone from strength to strength increasing its market share. To meet this increase in demand it has closed its first shop and opened a larger one in the centre of Paris with a higher rent and a possible increase in customers. It currently employs four florists. *Aude Rose* has been recognised for its high-quality flower arrangements that have been seen in several wedding magazines.

(a) (i) Which **one** of the following describes a minimum wage?

Select **one** answer.

(1)

- ☒ **A** Fixed amount per year and paid monthly
- ☒ **B** The lowest amount a business can legally pay its employees
- ☒ **C** Payment made to an employee for working additional hours
- ☒ **D** Payment made to an employee for reaching a target

(ii) Which **one** of the following describes the cash cow category in the Boston matrix?

Select **one** answer.

(1)

- ☒ **A** High market growth, high market share
- ☒ **B** High market growth, low market share
- ☒ **C** Low market growth, high market share
- ☒ **D** Low market growth, low market share

(iii) Which **one** of the following would give a business a negative cash flow?

Select **one** answer.

(1)

- ☒ **A** Cash inflow is greater than cash outflow
- ☒ **B** Costs are greater than profits
- ☒ **C** Profits are greater than costs
- ☒ **D** Cash outflow is greater than cash inflow

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11. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

(iv) Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Person specification
- ☒ **C** Application form
- ☒ **D** Curriculum vitae

To wrap its flowers *Aude Rose* buys 150 metres of wrapping paper from London, England every week at a cost of £0.46 per metre.

In October 2022 the exchange rate was £1 = €1.15

(v) Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper?

Select **one** answer.

(1)

- ☒ **A** €79.35
- ☒ **B** €276.00
- ☒ **C** €317.40
- ☒ **D** €396.75

Aude Rose provides flowers for large events. The most popular is a selection of traditional flowers selling for €65. The cost of making this selection of flowers is €42.

(vi) Which **one** of the following is the markup for a selection of traditional flowers?

Select **one** answer.

(1)

- ☒ **A** 54.76%
- ☒ **B** 64.62%
- ☒ **C** 182.61%
- ☒ **D** 282.61%

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4

P 7 2 9 5 2 A 0 4 2 0

11. Question 1 · part a.vi · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a.vi only.

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(b) Define the term **economies of scale**.

(1)

(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *Aude Rose* of using just-in-time (JIT) production.

(1)

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Aude Rose has fixed costs of €50 000 a year with a selling price of €50 and a variable cost of €10 per bunch of flowers sold.

(e) Calculate how many bunches of flowers *Aude Rose* will have to sell to break-even. You are advised to show your working.

(2)

..... bunches of flowers

11. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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12. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.iv only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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12. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.iv only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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12. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part a.iv only.

Figure 1 is a diagram of a product life cycle.

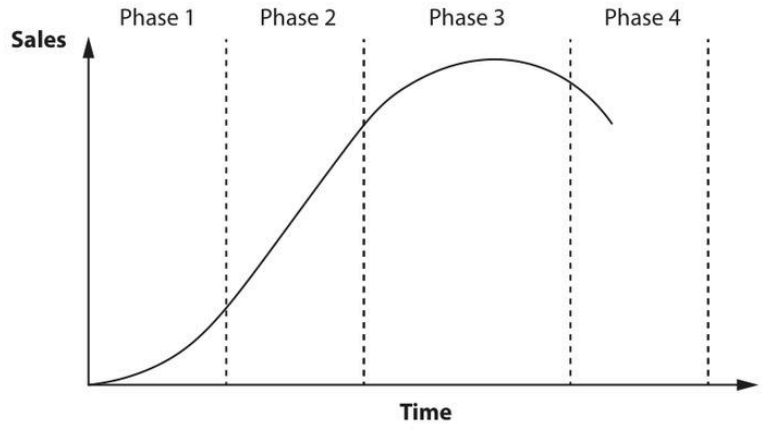


Figure 1

(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

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12. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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13. Question 1 · part a.v · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.v only.

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1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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13. Question 1 · part a.v · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a.v only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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13. Question 1 · part a.v · 1 mark · Working and answer

Working and answer

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14. Question 3 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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3 One aim of *Jimmy Choo's* is to ensure that all its employees are well motivated and fully trained to carry out the jobs they are employed to do. This is to reduce the number of employees leaving the business.

(a) Define the term **person specification**.

(1)

(b) Outline **one** reason why branding is important to *Jimmy Choo*.

(2)

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A *Jimmy Choo* handbag costs $1 590 (US dollars) to manufacture. It sells for $2 450.

(c) Calculate, to two decimal places, the percentage increase on this *Jimmy Choo* handbag when it is sold. You are advised to show your working.

(2)

..... %

14. Question 3 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Analyse why *Jimmy Choo* asks all candidates applying for a vacancy to complete an application form.

(6)

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14. Question 3 · part c · 2 marks · Working and answer

Working and answer

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15. Question 3 · part c · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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3 (a) Define the term **exporter**.

(1)

(b) Outline **one** advantage to *Samsung* of using flow production when manufacturing its products.

(2)

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The cost of manufacturing a *Samsung* laptop is 520 000 KRW (South Korean won). The mark-up is 25% on the manufacturing costs.

(c) Calculate the selling price of the laptop. You are advised to show your workings.

(2)

.....KRW

15. Question 3 · part c · 2 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

(d) Analyse why profit is important to *Samsung*.

(6)

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15. Question 3 · part c · 2 marks · Working and answer

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